

1.5 GDP AND GROSS NATIONAL INCOME (GNI)

Multiple Choice Questions

1991/CE/II/43

Which of the following is included in a country's gross national product?

- A. the expenditure on newly-issued shares
- B. the salary paid to a foreign employee
- C. the expenditure on public assistance
- D. the income of citizens earned abroad

1992/CE/II/48

The income of a Hong Kong citizen working in Canada is included in

- (1) Hong Kong's gross national product.
 - (2) Hong Kong's gross domestic product.
 - (3) Canada's gross national product.
 - (4) Canada's gross domestic product.
- A. (1) and (3) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only

1993/CE/II/44

If GNP is greater than GDP,

- A. depreciation is greater than zero.
- B. net income from abroad is greater than zero.
- C. transfer payments are greater than zero.
- D. exports are greater than imports.

1995/CE/II/32

GDP will be greater than GNP when

- A. the net export is negative.
- B. the net export is positive.
- C. the net income from abroad is negative.
- D. the net income from abroad is positive.

1999/CE/II/26

Which of the following sources of income earned by local residents should be included in the calculation of 'net income from abroad'?

- (1) export of goods
 - (2) export of services
 - (3) property investment in foreign countries
 - (4) stocks and shares investment in foreign countries
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (3) and (4) only

1999/CE/II/29

Which of the following statements about GDP is correct?

- A. GDP will be larger than GNP if the net export is positive.
- B. GDP does not include the income derived by local citizens from abroad.
- C. GDP does not consider the value of depreciation.
- D. Net income from abroad cannot be negative.

2002/CE/II/25

In order to calculate the gross national product of Hong Kong, which of the following items should be deducted from Hong Kong's gross domestic product (GDP) figure?

- A. the dividend received from shares in Hang Seng Bank by a Japanese person who lives in the U.S.
- B. the rental income earned by a Hong Kong resident from his property in the U.S.
- C. the salary earned by a native English teacher employed on a two-year contract in a secondary school in Hong Kong
- D. the donations of a Hong Kong resident to mainland China.

2004/CE/II/28

Which of the following items must be positive in value?

- A. net external factor income flow
- B. net exports
- C. depreciation
- D. gross profit of firms

2006/CE/II/26

Gross domestic product (GDP) will be greater than gross national product (GNP) when the amount of

- A. net income from abroad is negative.
- B. net income from abroad is positive.
- C. indirect taxes less subsidies is positive.
- D. net exports is negative.

2006/CE/II/29

Which of the following items should be included in the calculation of Hong Kong's net external factor income flow (i.e., net income from abroad)?

- (1) the spending of a Japanese tourist in Hong Kong
 - (2) the revenue earned by a Hong Kong watch manufacturer from selling watches to Europe
 - (3) the rental income of a Hong Kong resident from property investment in the U.K.
 - (4) the interest received by a Hong Kong resident from his savings deposit in a bank in Switzerland
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (4) only
 - D. (3) and (4) only

2008/CE/II/27

Which of the following amounts should be added to the GDP of Hong Kong in order to calculate the gross national product of Hong Kong ?

- A. the income earned by a Japanese singer who held two concerts in Hong Kong
- B. the salary of a Hong Kong resident who works for the Hong Kong office of an American bank
- C. the rental income received by a Hong Kong resident from his residential apartment in Canada
- D. an investment made by a Hong Kong resident in a garment factory in Thailand

2009/CE/II/30

Suppose the GDP is greater than the gross national product. This implies that

- A. the net factor income from abroad is positive.
- B. the net factor income from abroad is negative.
- C. the net export is positive.
- D. the net export is negative.

2010/CE/II/30

Which of the following amounts should be deducted from the GDP of Hong Kong in order to calculate the gross national product of Hong Kong?

- A. the rental income received by a mainland investor from his residential apartment in Hong Kong
- B. the dividend received by a Hong Kong resident from his investment in the stock market in the US
- C. the scholarship given by a Hong Kong tycoon to subsidize mainland students to study in Hong Kong
- D. the salary of a Hong Kong resident working in a branch office of a British bank in Hong Kong

2011/CE/II/31

Which of the following items can be negative in value?

- (1) Net external factor income flow
 - (2) Net exports
 - (3) Net domestic fixed capital formation
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2013/DSE/I/21

Which of the following items is **NOT** included in the calculation of Hong Kong's net factor income from abroad for the current year?

- A. the income received by a Japanese teacher who worked in a language school in Hong Kong for one year
- B. rental income earned from real estate holdings in Canada owned by a Hong Kong resident
- C. salary received by an Indian consultant who worked for the Hong Kong Airport Authority for three months
- D. dividends earned from shares in Hong Kong held by a US resident

2019/DSE/I/25

To calculate the gross national income of Hong Kong, which of the following should be added to the GDP of Hong Kong?

- A. the income earned by a Japanese chef who has worked in a Hong Kong restaurant for two months
- B. the rental received by a Hong Kong resident from leasing his house in Japan to a Japanese
- C. the salary earned by a Hong Kong resident from working as a secretary at the Hong Kong branch office of an Australian company
- D. the money received from selling an apartment in Australia by a Hong Kong resident.

2020/DSE/I/25

Which of the following should be deducted from the gross domestic product of Hong Kong to calculate the gross national income of Hong Kong?

- A. the fee paid by a Hong Kong football club to a Japanese football team for an exhibition match in Hong Kong
- B. the rent earned by a Hong Kong property developer from its residential property in Japan
- C. the capital gain earned by a Japanese insurance corporation from its financial investment in Hong Kong
- D. the dividend paid by a listed company in Japan to a Hong Kong resident

2022/DSE/I/27

Which of the following would be deducted from the GDP of Hong Kong to calculate the gross national income (GNI) of Hong Kong?

- A. the salary received by a Hong Kong professor who worked in a university in Japan on a permanent contract
- B. the dividend earned by a Filipino billionaire from his holding of shares of a Hong Kong company
- C. the salary received by an Indonesian domestic worker who worked for a Hong Kong family for two years
- D. the rental income earned from a residential property in the United Kingdom owned by a Hong Kong resident

2023/DSE/I/26

The following table shows some data of an economy in a certain year.

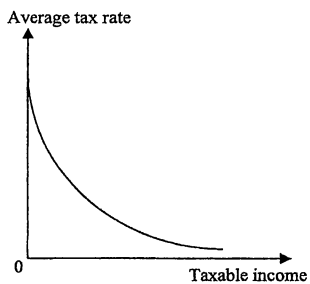
Factor income from abroad	\$14 billion
Factor income paid abroad	\$98 billion
Direct taxes	\$95 billion
Indirect taxes	\$23 billion
Production subsidies	\$57 billion
GDP deflator	117

Which of the following statements about the economy are correct?

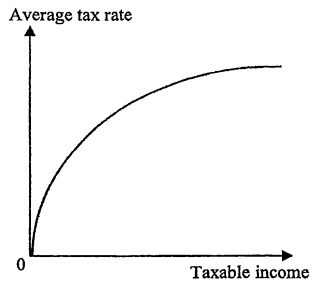
- (1) The GDP is higher than the gross national income (GNI).
 - (2) The GDP at factor cost is higher than the GDP at market price.
 - (3) The nominal GDP is higher than the real GDP.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

Which of the following tax systems tend to raise the post-tax Gini coefficient of an economy?

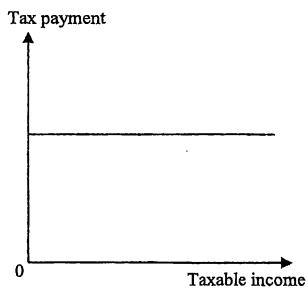
(1)



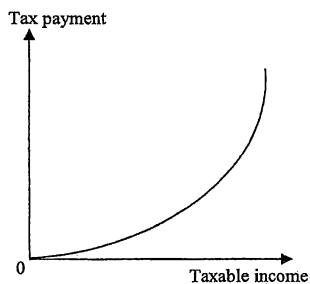
(2)



(3)



(4)



- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

Short & Structured Questions

1990/CE/I/1(c)

Explain whether the wage earnings of Filipino maids in Hong Kong are included in

- (i) Hong Kong's gross domestic product. (2 marks)
- (ii) the Philippines' gross national product. (2 marks)

2001/CE/I/6

Explain whether each of the following should be included in the calculation of Hong Kong's gross domestic product (GDP).

- (a) the salary of a Hong Kong citizen employed by a foreign airline
 - (b) the rent paid by a foreign airline for using the premises owned by a Hong Kong company
- (4 marks)

2002/CE/I/10(d)

Bank A runs its business in Hong Kong. Tom is a consultant from Japan who will work for Bank A for nine months. Afterwards he will return to Japan.

Explain whether Tom's salary for these nine months should be included in the calculation of Hong Kong's gross domestic product and gross national product. (4 marks)

2015/DSE/II/10(a)

Suppose a football club in Hong Kong hired a famous football player from Brazil as the coach for a 2-month course for kids. He received \$8 million as his salary and returned to Brazil afterwards. However, the enrollment of the course was poor and the revenue from the course was \$3 million only. What is the effect of organizing the above course on each of the following items? Explain.

- (i) Hong Kong's gross domestic product (GDP) (2 marks)
- (ii) Hong Kong's gross national product (GNP) (3 marks)